The $900M Writeoff

A Dive into Goldman Sach’s Investment in Northvolt

14 Pages

5 min read

Easy Level

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NORTHVOLT: A BOLD VISION FOR EUROPEAN BATTERY MANUFACTURING

Northvolt emerged in 2016 with an ambitious goal:

To establish a European battery manufacturing powerhouse that could rival Asian dominance.

northvolt
Batteries 101

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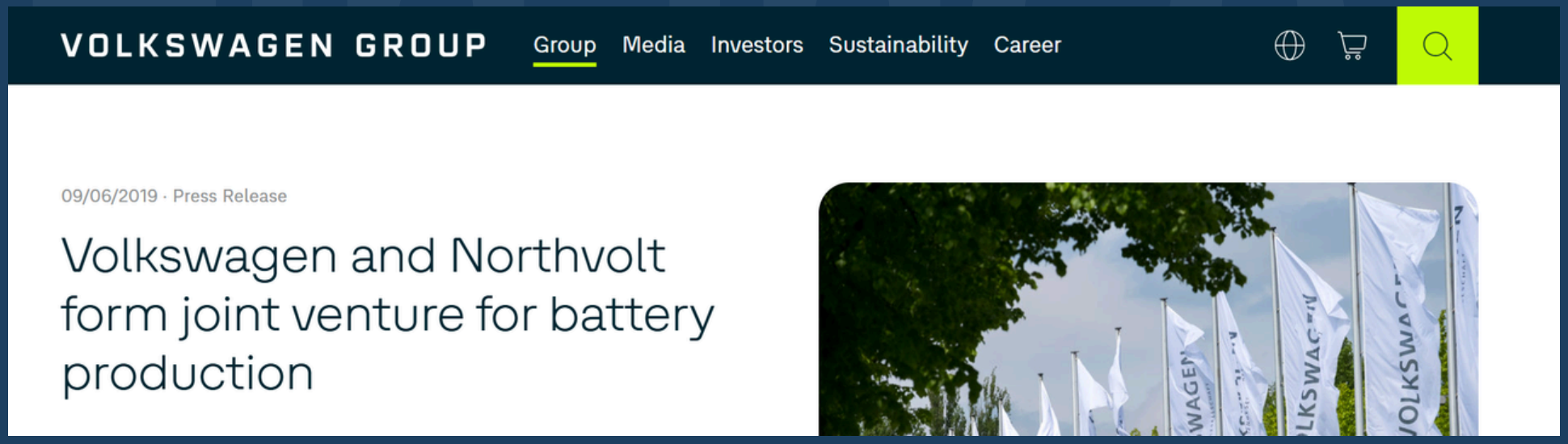
NORTHVOLT: A BOLD VISION FOR EUROPEAN BATTERY MANUFACTURING

The company's **focus on sustainability** and its **potential to play a crucial role** in EV revolution quickly attracted significant investment, including from **major players like Volkswagen.**



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GOLDMAN SACHS' MULTI-FACETED INVESTMENT STRATEGY

Goldman Sachs, through various investment funds, became a **major stakeholder in Northvolt**.

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GOLDMAN SACHS' MULTI-FACETED INVESTMENT STRATEGY

This investment was **spread across different funds**. **Smart?**

Goldman's exposure to Northvolt

Goldman fund	Size of Northvolt investment ($mn)
West Street Capital Partners VII	407
West Street Capital Partners VIII	346
Horizon Environment and Climate Solutions 1	116
StoneBridge 2020	27
Total	896

Source: Investors

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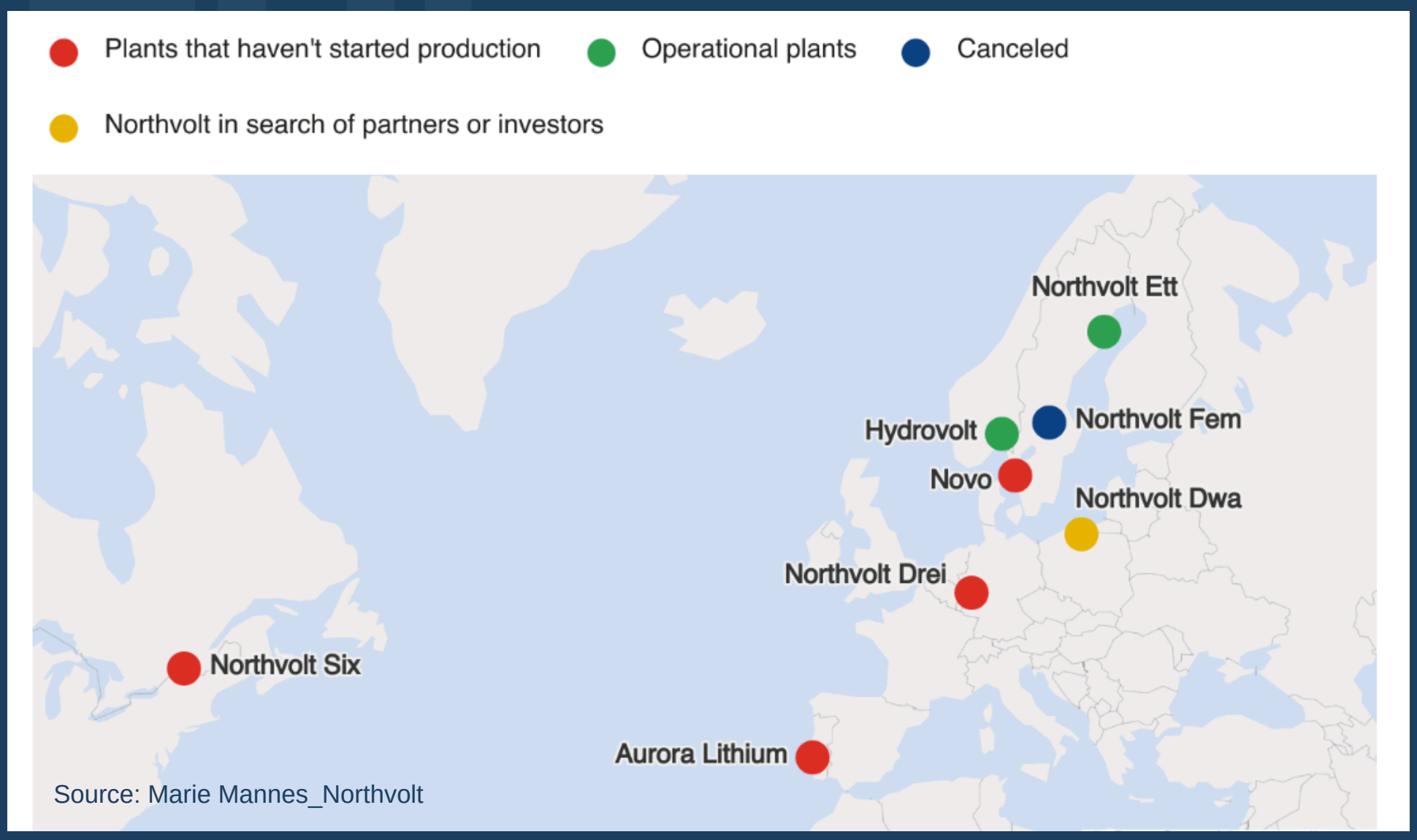
NAVIGATING THE COMPLEXITIES OF SCALING UP

Northvolt's **early fundraising success** enabled the company to embark on an **aggressive expansion plan**.



Source: Marie Mannes_Northvolt

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NAVIGATING THE COMPLEXITIES OF SCALING UP

However, these ambitious plans ultimately proved **too difficult to execute**, as the company encountered:

- challenges in **scaling up production** at its existing facility and
- managing the complexities of **multiple large-scale projects**.

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THE FINANCIAL REALITIES OF GREEN TECH INVESTING

Despite raising **over $15 billion in funding**, Northvolt struggled to achieve profitability and its mounting challenges led to a **rapid depletion** of its cash reserves.

By 21 Nov 2024, the company had only **$30 million in cash remaining**, while facing **$5.8 billion in debt**. These unsustainable financial conditions ultimately forced Northvolt to file for **Chapter 11 bankruptcy**.

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A TURNING POINT FOR GREEN TECH INVESTING?

Northvolt's bankruptcy sent **shockwaves** through the **investment community**, particularly among those focused on **green technologies.**

The failure of such a high-profile company, backed by prominent investors like Goldman Sachs and Volkswagen, has raised questions about the **risks associated with large-scale green projects.**

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BUILDING A MORE RESILIENT FUTURE FOR GREEN TECHNOLOGIES

The Northvolt case provides **valuable lessons** in the **transition to a sustainable future**. It highlights the need for:

Pragmatic Scaling

Ambitious expansion without solid operational foundations can lead to overextension.

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BUILDING A MORE RESILIENT FUTURE FOR GREEN TECHNOLOGIES

The Northvolt case provides **valuable lessons** in the **transition to a sustainable future**. It highlights the need for:

Risk Awareness

Investors must balance enthusiasm for green tech with deeper scrutiny of financial viability

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BUILDING A MORE RESILIENT FUTURE FOR GREEN TECHNOLOGIES

The Northvolt case provides **valuable lessons** in the **transition to a sustainable future**. It highlights the need for:

Stakeholder Collaboration

Transparent partnerships between companies, governments, and creditors are vital for resilience.

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BUILDING A MORE RESILIENT FUTURE FOR GREEN TECHNOLOGIES

The Northvolt case provides **valuable lessons** in the **transition to a sustainable future**. It highlights the need for:

Policy and Incentive Alignment

Government subsidies must complement feasible business plans to ensure sustainability

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BUILDING A MORE RESILIENT FUTURE FOR GREEN TECHNOLOGIES

The Northvolt case provides **valuable lessons** in the **transition to a sustainable future**. It highlights the need for:

Market Realities

Early success requires continual adaptation to production and financial pressures

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TAKE A MOMENT TO REFLECT...

What **financial models** could have better predicted Northvolt's **cash depletion** and **avoided over-leveraging**?

What **policy frameworks** can **mitigate risks** in nascent green technology sectors?

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Source: The Financial Times

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